

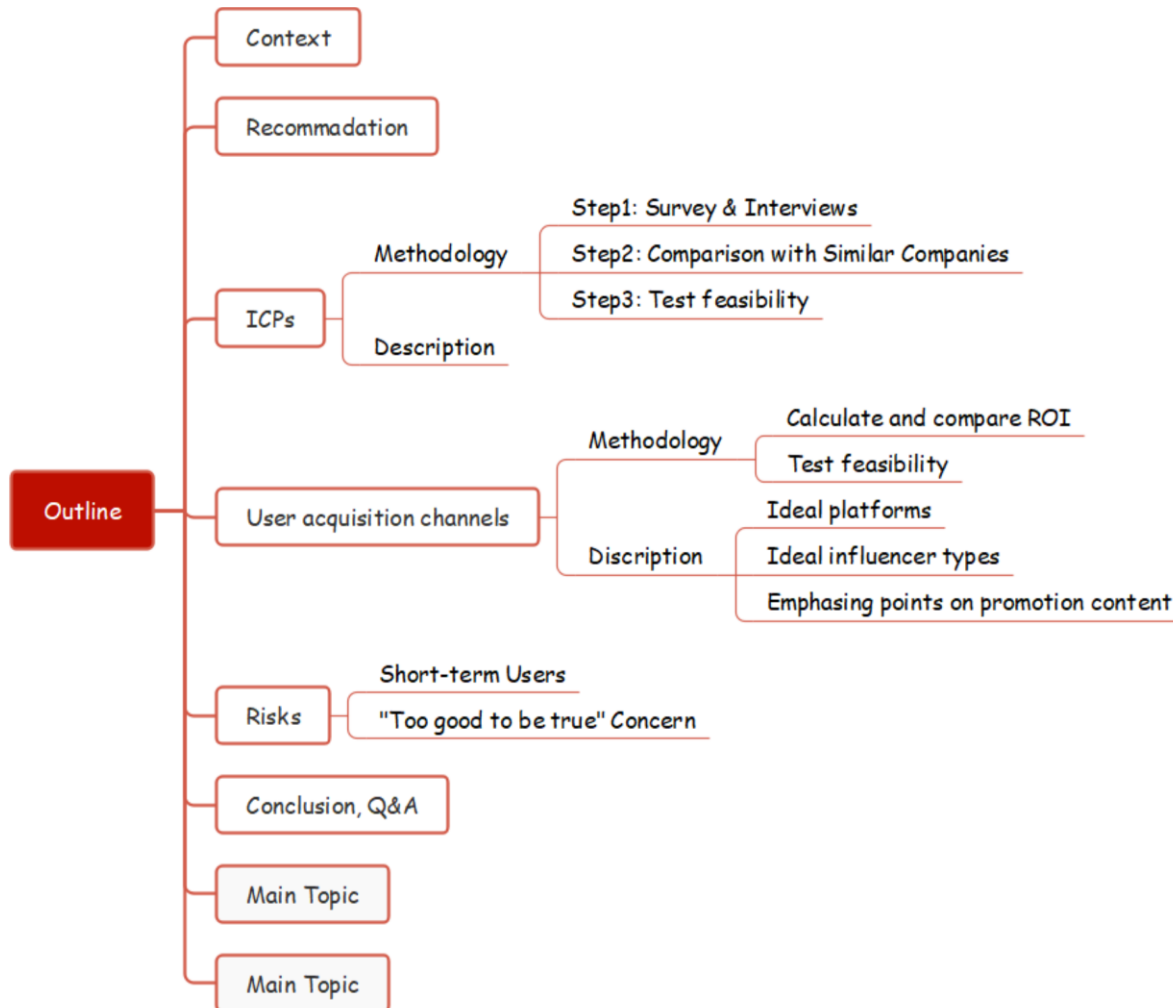


## **Sp'23 Case Competition**

Team CCTV: Haoyang Su, Keyang Pan, Ling Xu, Qingyi Yang, Yuehan Wu  
Many thanks to our friend: Runqi Wang

# Outline & Context

## Outline



## Context

- **Population:** 3.2 million resident nonimmigrants in the U.S.
- **Industry:** Current investment channels are **complicated** and has a high barrier to entry. **Fees and charges** are high.
- **Team:** We are 5 international students and we know what **visa holders** need

# Overview of Ideal Customer Profile & Acquisition Channels

## Ideal Customer Profile

US Visa holders with age between 21-34  
(mainly international students and young workers)

- Lack of financial literacy, seeking a convenient investment method
- Open to new technology
- Seek a channel to invest without a citizenship or green card

## Acquisition Channels

Social Medias

- Leverage various social media to increase the popularity of Nexus
- Utilize the established credibility of internet influencers

**Utilizing surveys/interviews and comparative analysis to refine target market selection, give the tentative proposal that set nonimmigrant residents in the U.S. as our ICP. Still waiting to be tested.**

## Step1: Survey & Interviews

**Target Interviewees:** People around the team members, age range 17 to 40

### Questions:

"Say there's one app where you can keep your money saved like a checking account and invest them without figuring out a strategy and have relatively low risk at the same time,

1. Would you be willing to use it? Why or why not?
2. What features you would like about this platform?
3. What concerns you would have about this platform?
4. Is there a certain group of people you can think of that may need a such app?
5. ... "

### Key results

- **Students**(especially international students) and **Young white-collar workers** LOVE it!
- Top loved feature: **Convenient / Easy**
- Concerns mainly **on security /**  
"Too good to be true"

### Tentative Proposal:

Choose nonimmigrant, temporary(>2 yrs) residents in the U.S. as the first ICP to establish the brand.

## Step 2: Comparison with Similar Companies

### Company with similar fintech background – Ant Financial(/Group)



- A Chinese fintech company that offers a wide range of financial and digital services.
- One of the largest fintech companies in the world.

**Ant Fortune** (wealth management platform operated by Ant Group)

Provided services: wealth management products, personalized investment recommendations, and financial planning tools

|                                            |                           |            |             |
|--------------------------------------------|---------------------------|------------|-------------|
| <b>Active User Profile for Ant Fortune</b> | <b>63%</b>                | <b>22%</b> | <b>58%</b>  |
|                                            | Gen-Z                     | Gen-Y      | Male        |
|                                            | <b>52%</b>                | <b>46%</b> | <b>50%</b>  |
|                                            | Investment/Year > ¥10,000 | Have Cars  | Have Houses |

### Company with similar ICP – Weee!



- An online grocery platform that provides groceries to customers in select US markets.
- **Target customers:** initially focused on serving the Chinese-American community, but has since expanded to target a broader audience.
- **Rapid growth** since its founding in 2015, with the COVID-19 pandemic further accelerating demand for online grocery services. The company has expanded its delivery network to cover major metropolitan areas in California, New York, New Jersey, and Washington state.

Estimate the population of our ICP to see the feasibility, but we still need further confirmation.

### Step3: Test Feasibility - Market sizing

$$3.2\text{million} * 87\% * (6 \div 14.1) \approx 1.2\text{million}$$

Resident  
nonimmigrants  
population

×

Percentage of  
temporary  
workers &  
students

×

Percentage of Ant  
Fortune users in China  
(a step of analogy)

≈

Estimated  
potential market  
size of our ICP

➡ 1.2 million population seems to be big enough for market entry and brand establishment.  
But there still exists an elephant in the room.

One Vital Question:

**WHY** would Nexus be the dream investment platform for these people?



Final Step: Match Nexus features to the ICP features, get a deeper insight into ICP.

➡ Move on to the next part

**ICPs are 21~34 years old visa holders, especially students and young workers, who are not professional in investment, follow social media bloggers a lot, and are open to new technologies.**

### The features of ICPs

|                                                                                    |                                                                                   |                                                                                                                                                             |
|------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | <b>Visa holders</b>                                                               | They have not yet or do not intend to pursue US green card, therefore registration and understanding of the US investment market are deemed uneconomical.   |
|    | <b>21~34 years old</b>                                                            |                                                                                                                                                             |
| <b>Young white-collars</b>                                                         |  | <ul style="list-style-type: none"> <li>Limited financial knowledge and experience;</li> </ul>                                                               |
| <b>International students</b>                                                      |  | <ul style="list-style-type: none"> <li>Occupied with studies or work, leaving little time for financial learning or consultation</li> </ul>                 |
|    | <b>Too busy / lazy to learn about investment</b>                                  | <ul style="list-style-type: none"> <li>Their savings and incomes may not be high, so any method of increasing income will be attractive.</li> </ul>         |
|    | <b>Have some savings in their accounts</b>                                        | <ul style="list-style-type: none"> <li>Seeking income growth beyond savings interest rates</li> </ul>                                                       |
| <b>Open to new technologies</b>                                                    |  | <ul style="list-style-type: none"> <li>They are loyal users of social media and are accustomed to learning new things through social media.</li> </ul>      |
| <b>Follow social media bloggers a lot</b>                                          |  | <ul style="list-style-type: none"> <li>Born and raised around the millennium, they are open to new technologies and are willing to try them out.</li> </ul> |
|  | <b>Dislike complex paperwork and process</b>                                      | <ul style="list-style-type: none"> <li>Non-permanent residency status brought challenges in investment account application.</li> </ul>                      |
|  | <b>Concern about deposit security</b>                                             | <ul style="list-style-type: none"> <li>Prefer low-risk financial activities due to income constraints and scam concerns</li> </ul>                          |

### The features of nexus

#### Integrated

- Integrate various investment approaches
- Straightforward risks and benefits

#### Convenient

- Simple to register
- No complicated multiple accounts and paperwork

#### Easy

- No investment expertise is required
- No personal portfolio planning is required

#### Transparent

- All fees are transparent
- No hidden fees

#### Young

- A startup company!

**Nexus perfectly matches their needs!**

The Ideal Customer Profiles shows the target customers that nexus should try to attract, who are the active customers that Nexus can obtain at the current stage.

## Ideal Customer Profiles



**International students**



**Young white collars**

|                                            |                                                                                                                                                                                                               |                                                                                                                                                                      |
|--------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Basic feature</b>                       | <ul style="list-style-type: none"> <li>• 21~27 years old</li> <li>• First and second-tier cities</li> <li>• Sponsored by parents or scholarship</li> <li>• Income from internship or research work</li> </ul> | <ul style="list-style-type: none"> <li>• 25~34 years old</li> <li>• First and second-tier cities</li> <li>• Medium working income</li> </ul>                         |
| <b>Life style</b>                          | <ul style="list-style-type: none"> <li>• Busy on study</li> <li>• Social and networking</li> <li>• Heavy use of social media</li> </ul>                                                                       | <ul style="list-style-type: none"> <li>• Busy on working</li> <li>• Fast pace of life, with tight schedules</li> <li>• Gain information from social media</li> </ul> |
| <b>Popular apps</b>                        | <ul style="list-style-type: none"> <li>• Little Red Book</li> <li>• WeChat</li> <li>• Instagram</li> <li>• Twitter</li> </ul>                                                                                 | <ul style="list-style-type: none"> <li>• Little Red Book</li> <li>• Facebook</li> <li>• Wechat</li> <li>• E-mail</li> </ul>                                          |
| <b>Risk tolerance &amp; Revenue demand</b> | <ul style="list-style-type: none"> <li>• Low risk tolerance</li> <li>• Median revenue demand</li> <li>• Doubt about high revenue (too good to be true)</li> </ul>                                             | <ul style="list-style-type: none"> <li>• Median risk tolerance</li> <li>• Median or high revenue demand</li> <li>• Low revenue is low attraction</li> </ul>          |

**After comparing the data of different users acquisition channels, we conclude that utilizing social media to carry out cooperation with KOLs is the most cost-effective!**

## Compare Different Approaches by Efficiency

### Bus stop

Take SF as example:  
The price of average per display **per 4 week** period :  
**\$1500 ~ \$3900**  
**Disadvantage** : only 15% download or use

### Text Notification

If we use **Push Notifications platforms**, the pricing for services lay within **\$30 - \$250 / month**

### Search engine Ads

Take Google Ads as example, suppose we set **daily budget \$63**. The **monthly maximum expense** would be **\$1915**

### Student Club Recomend

\$5 per audience to mention the app when picking up new students. About 40% of students will try the app. About \$10/download.

## 74% of people use social media when making a purchasing decision.

### Social Media

#### Social media KOL

- about \$10/ download directly
- a lot spillover effect

For the Chinese, **the Little Red Book** is the best channel to promote new apps. A blogger with 10.000 fans posting a graphic advertisement on it costs about \$1200. There will be 100-200 favorites and we estimate there will be 100+ more downloads.

For the Indians, we can invite **Youtube, Twitter** KOLs with about 10,000 followers to advertise for our app and produce 10million views on Youtube and Twitter separately. So there will be 100+ more downloads each KOL advertisements.

#### Social media ADs

- about \$1.5/download .
- Depend on the popularity of app built up by KOL & recommendations.

With age distribution: 32% pf 10-19 and 34% of 20-29, sex distribution: 57% women and 43% men, **Tiktok** perfectly cover the target user. Ads on Tiktok costs \$10/1000 playing. We estimate 2% try to download and among which 50% use and deposit in the app. About \$1/download

**Facebook** ads: \$0.97 per click, \$6.35 per 1000 views of Boosted posts. We estimate 40% of click lead to download and use. About \$2.4/download



According to users' data, ideal promotion platform are Instagram, Youtube and RED, and there are 3 types of influencers we should mainly cooperate with.

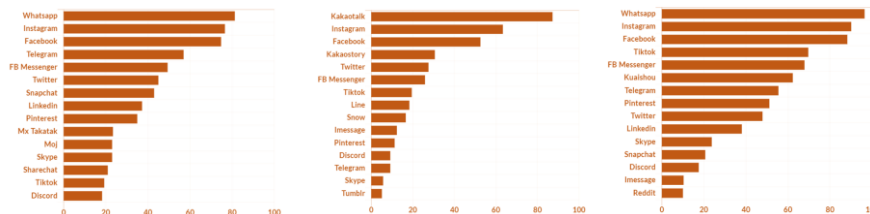
## Ideal platforms:

Data shows that the most used social platforms in top five major source countries for US international students are basically **Instagram** and **Facebook**.

| Country of Citizenship | 2021 Student Count |
|------------------------|--------------------|
| China                  | 348,992            |
| India                  | 232,851            |
| South Korea            | 58,787             |
| Canada                 | 37,453             |
| Brazil                 | 33,552             |

← Top five sources of overseas students in the U.S. in 2021.

Most used social platforms in India, South Korea, and Brazil in 2022. ↓

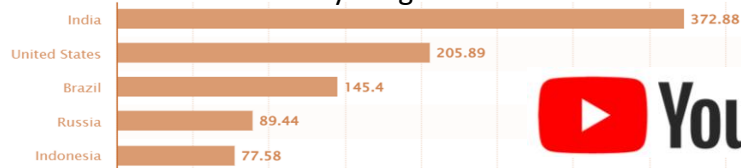


Find some **YouTube** and **RED** bloggers.

- YouTube has long been a social networking site that people around the world have relied on and used for a long time.

The graph below (Ranking of the number of YouTube users by country 2020) tells a lot.

- RED, is a Chinese app where more and more Chinese tend to look for advices for everything.



## Ideal influencer types:

We mainly focus on 3 types of influencers:



*Bloggers who study abroad or share information about studying life in the U.S..*

Their followers are students who are more likely to study abroad in the future and want to know more about everything in the U.S. when they're planning for their first time living abroad on their own.



*Lifestyle Bloggers of different ethnicities, such as Chinese, Koreans, Indians and so on.*

People are more likely to follow and trust those bloggers who are of the same ethnicity as themselves—especially when you are in a foreign country, far from your home



*Personal Finance Bloggers/vloggers who help readers in various ways with their finances.*

These people are more professional and convinced about financial investments and other knowledge. Also, their followers are definitely more interested in investment.

As for the well-known level of the bloggers we contacted, taking into account factors such as funding and the distribution and search habits of our target customers, we finally decide to target those bloggers who have around 1-3k followers.

# Potential Risks

## Risk1: Short-Term Users



- There could be a bigger portion of **short-term users** if we decide to target the visa holders. Because visa holders, such as international students, temporary workers, and other nonimmigrant residents, typically have a limited duration of stay in the country.
- The funds flow could **fluctuate** more since there are more sort-term users, which could impact our revenue stream and affect the overall financial **stability** of the business.

### However,

- Establishing among visa holders gives us the **first step** into a stand in the market, and we could gradually march into bigger markets step by step.
- The market of visa holders has **not been occupied** yet and is easier and less competitive to establish a presence into compared with other markets.

## Risk 2: Too Good to be True...

- Customers are **cautious**, they could think the app is “too good to be true”. Especially in our app, there is no live agent to connect with customers to increase credibility. There lie difficulties in how can we reach a certain level of **trust** with our target customers.

### Solution

- Be **transparent**, clearly state the fees and charges. Actively advertise for the security of our app.
- Possibly launch a series of **videos** on YouTube to introduce basic financial knowledge as well as the app details to current and potential customers to gain trust.



# Thanks!

## Q & A



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